# BOOK KEEPING & ACCOUNTANCY

**Time: 3 Hrs.** **Max. Marks: 80**

**Q.1. All objective questions are compulsory:** **[20]**

**(A) Complete the table:** **(5)**

(1) Cost of goods sold = Opening Stock + Purchases – [ ]

| | | | |
|---|---|---|---|
| (2) | Income | Expenditure | Deficit |
| | 25,000 | [ ] | 2,000 |
| (3) | Date of drawing bill | Period | Due Date |
| | 23.12.2021 | 1 month | [ ] |
| (4) | Creditors | Bills Payable | Third Party Liability |
| | 40,000 | 60,000 | [ ] |
| (5) | Sales | Purchases | Gross Profit |
| | [ ] | 1,80,000 | 20,000 |

**(B) Select the correct option and rewrite the statements:** **(5)**

(1) The Profit or loss from revaluation on retirement of partner is shared by _____.

(A) The remaining partners (B) All the Partners
(C) Only retiring partner (D) Bank

(2) Profit and Loss Suspense Account is shown in the new balance sheet on _____ side.

(A) Debit (B) Credit (C) Assets (D) Liabilities

(3) Not for Profit Organisation is also called _____ organisation.

(A) Service (B) Trading (C) Profit making (D) Commercial

(4) A _____ is an intangible asset.

(A) Stock (B) Furniture (C) Cash (D) Goodwill

(5) _____ is credited when unrecorded asset is brought into business.

(A) Revaluation Account (B) Balance Sheet
(C) Partner's Capital Account (D) Trading Account

**(C) Write a word / term/ phrase as a substitute for each of the following statements:** **(5)**

(1) Debit balance of revaluation account.
(2) It is a damaged software, cracked, but nearly fully functional.
(3) Average Profit – Normal Profit =
(4) An account which records only revenue items in case of Not for Profit Concern.
(5) Partnership Agreement in written form.

**(D) Complete the sentences:** **(5)**

(1) When face value of the share is ₹ 100 and issued price is ₹ 110 then it is said that the shares are issued at _____.
(2) A person who draws the bill of exchange is known as _____.
(3) Dissolution expenses are credited to _____ account.
(4) Credit side of Receipts and Payments Account shows cash _____.
(5) Expenses which are paid before due date are called as _____.

**Q.2.** The Balance Sheet of Mohit and Rohit who shared profits equally was as follows: **[10]**

**Balance Sheet as on 31st March 2021**

| Liabilities | | Amount (₹) | Assets | Amount (₹) |
|---|---|---|---|---|
| Bills Payable | | 52,000 | Cash | 1,60,000 |
| Creditors | | 48,000 | Stock | 80,000 |
| Capital Accounts: | | | Plant and Machinery | 1,40,000 |
| Mohit | *2,00,000* | | Debtors | 52,000 |
| Rohit | *2,80,000* | 4,80,000 | Furniture | 48,000 |
| General Reserve | | 20,000 | Land and Building | 1,20,000 |
| | | **6,00,000** | | **6,00,000** |

On 1st April 2021 Sujit joins the firm as a partner for 1/5th share of future profit on following terms and conditions:

(1) Stock, Plant and Machinery are to be reduced by 20%.
(2) Land and Building is to be valued at ₹ 1,75,000.
(3) A provision of 10% is to be created on debtors.
(4) Sujit is to bring in ₹ 2,00,000 as capital.
(5) Goodwill is valued at ₹ 4,00,000. Sujit is to bring his share of goodwill in cash.

Draft the Journal Entries in the books of the firm and show Profit and Loss Adjustment Account.

**OR**

Give journal entries of the following in the books of Daulat.

(1) Sarita's acceptance for 3 months of ₹ 20,000 was discounted with bank at ₹ 19,800.
(2) Siddhi's acceptance ₹ 15,000 retired one month before the due date at rebate of 12% p.a.
(3) Prachiti's acceptance of ₹ 9,750 is endorsed in favour of Bhumika in full settlement of her account ₹ 10,000.
(4) Sold goods to Madhura ₹ 20,000 @10% trade discount.
Received half the amount in cash and for the balance a bill for 2 months which was accepted by Madhura. On the due date, Madhura meets the bill.

**Q.3.** Rajeev, Sanjeev and Mahesh were partners in the firm Janki Traders sharing profit and losses in the ratio of 2 : 2 : 1. The following is the Balance Sheet as on 31st March 2022: **[10]**

**Balance Sheet as on 31st March 2022**

| Liabilities | Amount (₹) | Assets | | Amount (₹) |
|---|---|---|---|---|
| Capital Accounts: | | Machinery | | 2,00,000 |
| Rajeev | 2,40,000 | Investment | | 96,000 |
| Sanjeev | 80,000 | Debtors | 2,20,000 | |
| Mahesh | 80,000 | Less - R.D.D. | 12,000 | 2,08,000 |
| General Reserve | 24,000 | Stock | | 80,000 |
| Creditors | 1,60,000 | Bank | | 56,000 |
| Bills Payable | 56,000 | | | |
| | **6,40,000** | | | **6,40,000** |

On the above date the partners decided to dissolve the firm.

(1) Assets were realised as under:
Machinery ₹ 1,80,000, Stock ₹ 72,000, Investment ₹ 84,000 and Debtors ₹ 1,80,000.
(2) Dissolution expenses were ₹ 12,000.
(3) Goodwill of the firm realised ₹ 96,000.

Prepare necessary ledger accounts to close the books of the Partnership Firm.

**OR**

Ramesh, Dinesh and Mahesh were partners sharing profits and losses in the ratio of 5 : 2: 3. Their balance sheet as on 31st March 2020 was as follows:

**Balance Sheet as on 31st March 2020**

| Liabilities | Amount (₹) | Assets | | Amount (₹) |
|---|---|---|---|---|
| Capital Accounts: | | Plant and Machinery | | 42,000 |
| *Ramesh* | 46,000 | Building | | 50,000 |
| *Dinesh* | 42,000 | Stock | | 30,400 |
| *Mahesh* | 27,600 | Debtors | 26,800 | |
| Creditors | 30,000 | Less – R.D.D. | 800 | 26,000 |
| Bills Payable | 11,200 | Bank | | 32,400 |
| General Reserve | 24,000 | | | |
| | **1,80,800** | | | **1,80,800** |

Dinesh retired from business on 1st April 2020 on the following terms:

(1) The assets were revalued as under:

(i) Stock ₹ 38,000

(ii) Building is appreciated by 10%

(iii) Plant and Machinery is to be depreciated by 10%

(iv) R.D.D. is increased up to ₹ 1,000.

(2) The goodwill of retiring partner is valued at ₹ 18,000 and remaining partners decided that goodwill be written off in their new ratio which will be 5 : 3.

(3) Amount due to Dinesh is to be transferred to his loan account.

**Prepare:**

(1) Revaluation Account (2) Partner's Capital Account and

(3) Balance Sheet of New Firm.

**Q.4.** Mahendra, Jitendra and Hitendra are in partnership sharing profits and losses in the ratio of 3 : 2 : 1 respectively. Their Balance Sheet as on 31st March 2022 was as follows: **[8]**

**Balance Sheet as on 31st March 2022**

| Liabilities | Amount (₹) | Assets | Amount (₹) |
|---|---|---|---|
| Capital Accounts: | | Debtors | 90,000 |
| *Mahendra* | 2,20,000 | Machinery | 85,000 |
| *Jitendra* | 2,10,000 | Investment | 3,50,000 |
| *Hitendra* | 2,40,000 | Motor Lorry | 1,00,000 |
| Creditors | 80,000 | Building | 80,000 |
| Bills Payable | 7,000 | Bank | 1,48,000 |
| General Reserve | 96,000 | | |
| | **8,53,000** | | **8,53,000** |

On 1st October 2022 Hitendra died and the partnership deed provided that:

(1) Machinery valued at ₹ 80,000 and creditors valued at ₹ 69,000.

(2) Profit for 2022-23 was estimated at ₹ 1,20,000. Hitendra's share in it up to the date of his death was given to him.

(3) Goodwill of the firm was valued at two times the average profit of the last 5 years. Firm's profit of the last 5 years were:

I year ₹ 1,80,000,

II year ₹ 1,50,000,

III year ₹ 2,00,000,

IV year ₹ 1,20,000

V year ₹ 2,50,000.

Hitendra's share in it was to be given to him.

(4) Drawings made by Hitendra up to his death is ₹ 30,000.

(5) Interest on drawings of Hitendra charged ₹ 2,000.

**Prepare:** Hitendra's Capital Account and show working of:

(i) Hitendra's share in goodwill

(ii) Hitendra's share in profit.

**OR**

State the importance of Computerised Accounting System.

**Q.5.** Pavitra Co. Ltd. Issued ₹ 20,00,000 capital divided into equity shares of ₹ 100 each at a premium of ₹ 20 per share. **[8]**

Amount payable as:

₹ 20 on Application

₹ 40 on Allotment (including ₹ 10 premium)

₹ 60 on First and Final call (including ₹ 10 premium)

Company received applications for all shares. All the money due on allotment and first and final call was duly received.

Pass Journal Entries in the books of Pavitra Co. Ltd.

**OR**

**Trading and Profit and Loss Account**
**For the year ended 31st March 2022**

**Dr.** **Cr.**

| Particulars | Amount (₹) | Particulars | Amount (₹) |
|---|---|---|---|
| To Opening Stock | 4,00,000 | By Sales | 24,00,000 |
| To Purchases | 18,00,000 | By Closing Stock | 6,00,000 |
| To Wages | 2,00,000 | | |
| To Gross Profit c/d | 6,00,000 | | |
| **Total** | **30,00,000** | **Total** | **30,00,000** |
| To Office Expenses | 2,50,000 | By Gross Profit b/d | 6,00,000 |
| To Selling Expenses | 2,00,000 | | |
| To Finance Expenses | 60,000 | | |
| To Net Profit c/d | 90,000 | | |
| | **6,00,000** | | **6,00,000** |

Company had following current assets and current liabilities:

Debtors ₹ 1,20,000, Creditors ₹ 60,000, Stock ₹ 60,000, Bills Payable ₹ 40,000, Loose Tools ₹ 20,000. Bank Overdraft ₹ 20,000.

Calculate following ratios:

(1) Gross Profit Ratio (2) Operating Ratio

(3) Net Profit Ratio (4) Current Ratio

**Q.6.** From the following transactions of Samarth Vyayamshala, Chandgad, prepare Income and Expenditure Account and Balance Sheet as on 31st March 2022. **[12]**

**Receipts and Payments Account**
**As on 31st March 2022**

| Receipts | Amount (₹) | Payments | Amount (₹) |
|---|---|---|---|
| To Balance b/d | | By Salaries | 18,000 |
| Cash in hand | 15,000 | By Entertainment | |

| | | | | |
|---|---|---|---|---|
| To Subscriptions: | | | expenses | 7,440 |
| 2021-2022 | 54,000 | | By Sundry Expenses | 3,900 |
| 2022-2023 | 1,230 | 55,230 | By Electricity Charges | 3,600 |
| To Donations | | 18,000 | By Rent | 2,100 |
| To Receipts from entertainment | | 16,200 | By Investment | 45,000 |
| To Interest | | 1,200 | By Printing and Stationery | 2,400 |
| To Entrance Fees | | 18,600 | By Postage | 9,600 |
| | | | By Fixed Deposit | 11,700 |
| | | | By Balance C/d | 20,490 |
| | | **1,24,230** | | **1,24,230** |

Adjustments:

(1) Capital fund as on 1st April 2021 was ₹ 2,10,000.

(2) Assets on 1st April 2021 were:

Building ₹ 1,50,000

Furniture ₹ 45,000

(3) Provide depreciation on building at 5% p.a. and on furniture at 10% p.a.

(4) 50% of entrance fees to be capitalised.

(5) There are 1,500 members each paying yearly subscription of ₹ 50.

**Q.7.** Snehal and Deepali are partners sharing profit and losses in their capital ratio. Following is the Trial Balance as on 31st March 2021: **[12]**

**Trial Balance as on 31st March 2021**

| Particulars | Debit Amount (₹) | Particulars | Credit Amount (₹) |
|---|---|---|---|
| Plant and Machinery | 27,600 | Capital Accounts: | |
| Carriage Outward | 2,600 | *Snehal* | 1,60,000 |
| Wages and Salary | 15,200 | *Deepali* | 80,000 |
| Sundry Debtors | 1,24,000 | Sundry Creditors | 68,000 |
| General Expenses | 5,000 | Sales | 2,96,000 |
| Stock (1st April 2020) | 1,79,000 | R.D.D. | 2,400 |
| Motor Van | 80,000 | Purchase Return | 12,000 |
| Office Rent | 10,000 | | |
| Freehold Property | 46,000 | | |
| Sales Return | 16,000 | | |
| Advertisement (For 2 Years) | 8,000 | | |
| Salaries | 9,000 | | |
| Purchases | 96,000 | | |
| | **6,18,400** | | **6,18,400** |

Adjustments:

(1) Closing stock is valued at ₹ 1,76,000.

(2) Outstanding wages ₹ 1,600.

(3) Reserve for doubtful debts on Debtors at 5% is to be created,

(4) Depreciate motor van by 5% and plant and machinery by 10% p.a.

Prepare:

(i) Trading Account

(ii) Profit and Loss Account

(iii) Balance Sheet as on 31st March 2021.